

CAPITAL MARKETS

\$153M in Orders for a \$153M Deal: Affordable Housing CMBS Has a Bid

Systema's tax-exempt CMBS offering was 8x oversubscribed, revealing deep institutional appetite for LIHTC-backed credit.

July 24, 2026 · Commercial Observer · 4 min read

A source-grounded Light Tower Insight. The complete note follows.

The most revealing number in Systima Capital Management's \$153 million tax-exempt CMBS deal is not the deal size. It is the order book: \$1.2 billion in bids from 19 institutional investors. That is roughly eight times the supply. In a market where private-label CMBS issuance remains selective and spreads volatile, that ratio is not normal. It is a signal.

The signal is this: institutional capital is hungry for affordable housing exposure, but only through structures that isolate the credit risk from the operating risk. Tax-exempt CMBS, backed by Low-Income Housing Tax Credit properties, does exactly that. The bonds are rated A-minus and BBB-plus by S&P. The underlying loans are on 1,272 units across five states. The borrower is the Public Finance Authority. The structure is securitized, diversified, and rated. The investor does not need to underwrite a specific property manager or a local market cycle. They underwrite the federal subsidy program and the historical loss data on LIHTC multifamily, which is, by any measure, excellent.

That is the tension in this transaction. Two parties need different things from the same deal. The issuer, Systima, needs to prove that tax-exempt CMBS can be a repeatable capital markets strategy for affordable housing, not just a one-off balance sheet cleanup for banks. The investors need yield that is uncorrelated with the broader CRE cycle and protected by a federal program that has survived every political shift for four decades. Both parties got what they wanted. The question is whether the structure can scale.

Ryan Paszczykowski, Systima's head of structured investing, told Commercial Observer that the firm aims to become one of the first dedicated managers to bring this strategy to the mainstream. That is a credible ambition, but it depends on supply. The bottleneck is not investor demand. It is the availability of tax-exempt bonds and LIHTC allocations that can be pooled into a securitizable portfolio. The 1,272 units in this deal came from seven properties across Wisconsin, Illinois, Florida, Tennessee, and Texas. Assembling that pool required origination, coordination with state housing finance agencies, and alignment with developers who had the credits and the construction timeline.

That is not a commodity business.

The capital mechanism here is worth unpacking. Tax-exempt CMBS combines two advantages. First, the interest on the bonds is exempt from federal income tax, which lowers the coupon the issuer must pay. Second, the CMBS structure allows the loans to be pooled and tranced, creating senior and subordinate classes. Systema retained the subordinate Class B certificates, meaning it kept the first-loss risk. That alignment is exactly what rating agencies and investors want to see. J.P. Morgan led the underwriting. Wells Fargo co-managed. The structure is institutional-grade.

What this deal reveals about the broader market is more interesting than the deal itself. Private-label CMBS issuance has been constrained since 2022, as banks pulled back and spreads widened. Office and retail remain difficult to securitize. Multifamily has been the bright spot, but even there, the bid has been concentrated in agency debt and balance-sheet lending. This transaction shows that there is a private-label bid for multifamily, but only when the credit is government-backed and the structure is clean. That is a narrower lane than the headline suggests.

The investor base is also telling. Nineteen institutions placed \$1.2 billion in orders. That is not a broad market. It is a concentrated group of large, sophisticated buyers who have the analytical capacity to underwrite LIHTC credit and the balance sheet to hold long-duration, tax-exempt paper. These are insurance companies, pension funds, and asset managers who treat affordable housing as a liability-matching asset, not a return-maximizing bet. Their time horizon is different from a typical CMBS buyer's. That matters for pricing and for the stability of the structure.

For owners and sponsors of affordable housing, this deal is a proof point. There is a capital markets exit for LIHTC loans that does not require a bank balance sheet or a government-sponsored enterprise. The cost of that exit is a function of the rating, the structure, and the size of the pool. Single-asset deals will not work. Portfolios of 1,000-plus units, diversified by geography and subsidy type, can clear. The implication is that scale matters more than location. A 200-unit LIHTC property in a strong market may not be financeable in this structure. A 1,200-unit pool across five states is.

For lenders and capital partners, the takeaway is about timing. The oversubscription suggests that the

bid for affordable housing CMBS is ahead of the supply. That means the first movers who can originate, pool, and securitize LIHTC loans will capture a pricing advantage. As more managers enter the space, spreads will compress and underwriting standards will converge. The window for structural alpha is open now. It will not stay open forever.

The deal is not proof that private-label CMBS is back. It is proof that a specific, well-structured, government-backed variant of CMBS has a deep and loyal bid. The next test is whether Systima can repeat this with a second pool, and whether other managers can replicate the model. If they can, affordable housing will have a new capital markets channel. If they cannot, this deal will be remembered as a clever one-off that the market could not scale. The order book says the demand is real. The supply side will decide the rest.

SOURCES

— Commercial Observer —

<https://commercialobserver.com/2026/07/systima-jpmorgan-tax-exempt-cmbs-affordable-housing-bonds/>

LIGHT TOWER GROUP